13. Income Taxes

The components of income tax expense are as follows, and presented in thousands:

	Year-Ended December 31,		
	2012	2011	2010
Current income tax expense:			
Federal	$ 25,182	$ 26,232	$ 32,172
State	1,445	1,638	2,334
Foreign	4	6	—
Deferred income tax expense:			
Federal	(2,533)	3,317	1,325
State	(185)	3	29
Foreign	(866)	(826)	—
Income tax expense	$ 23,047	$ 30,370	$ 35,860

The following presents a reconciliation of income tax computed at the U.S. statutory rate to the effective income tax rate:

	Year-Ended December 31,		
	2012	2011	2010
Statutory rate	35.0 %	35.0 %	35.0 %
State income taxes	2.3	2.5	2.5
Foreign taxes	1.0	0.3	—
Valuation allowance	1.1	—	—
Tax-exempt interest	(0.5)	(0.8)	(0.8)
Other	(0.1)	0.1	0.3
Effective income tax rate	38.8 %	37.1 %	37.0 %

The following table presents significant components of the Company’s deferred income tax assets and liabilities as of December 31, 2012 and 2011, in thousands:

	Year-Ended December 31,	
	2012	2011
Deferred income tax assets:		
Net operating loss carryforwards	1,926	$ 928
Allowance for doubtful accounts	3,060	2,221
Accrued liabilities	3,200	4,033
Share-based compensation	4,596	3,642
Other	22	34
Deferred income tax assets	12,804	10,858
Deferred income tax liabilities:		
Prepaid expenses	(1,269)	(1,208)
Accumulated other comprehensive income	(6)	(169)
Property and equipment	(14,538)	(16,095)
Joint venture investment	—	(863)
Other	(97)	—
Intangible assets	(1,083)	(1,646)
Deferred income tax liabilities	(16,993)	(19,981)
Net deferred tax liability before valuation allowance	(4,189)	(9,123)
Valuation allowance	(700)	—
Net deferred tax liability	$ (4,889)	$ (9,123)

At December 31, 2012, the Company has net operating loss carryforwards of approximately $1.5 million and $7.5 million for state and UK income tax purposes, respectively. The state net operating loss carryforwards expire at various dates through 2031, and the UK net operating loss carryforwards do not expire.

The Company regularly assesses the likelihood that its deferred tax assets will be recovered in the future. A valuation allowance is recorded to the extent it concludes a deferred tax asset is not considered to be more-likely-than-not to be realized. The Company considers all positive and negative evidence related to the realization of the deferred tax assets in assessing the need for a valuation allowance. If the Company determines it will not realize all or part of its deferred tax assets, an adjustment to the deferred tax asset will be charged to earnings in the period such determination is made.

During the fourth quarter of 2012, the Company concluded that it was more-likely-than-not that its UK deferred tax assets would not be fully realized. Therefore, during 2012, the Company recorded a charge to establish a valuation allowance of $0.7 million primarily related to its UK deferred tax assets. The valuation allowance charge is included in income tax expense on the Company's Consolidated Statement of Income.

The Company's accounting for deferred tax consequences represents its best estimate of future events. A valuation allowance established or revised as a result of our assessment is recorded through income tax expense in the Consolidated Statements of Income. Changes in current estimates due to unanticipated events, or other factors, could have a material effect on the Company's financial condition and results of operations.

The Company currently does not have unremitted earnings from its international subsidiaries due to an earnings and profits deficit balance in the foreign jurisdiction. Therefore, as of December 31, 2012, the Company has not established deferred tax liabilities for unremitted earnings.

The Company is subject to U.S. federal income tax and multiple state jurisdictions, as well as UK corporation tax and Hong Kong profits tax.

During 2012, the Internal Revenue Service (IRS) commenced an income tax audit for the 2010 tax year, and an income tax audit remains open in the state of New York for tax years 2008-2010.

For U.S. federal and UK corporation tax purposes, the statute of limitations remains open on tax years from 2009. For Hong Kong, the statute of limitations is six years and for state purposes, the statute of limitations varies by jurisdiction, but is

generally from three to five years. For Hong Kong and those states that generated net operating losses in earlier years, the statute of limitations begins to run in the year subsequent to the utilization of net operating losses.

As of December 31, 2012, the Company had $75 thousand of total gross unrecognized tax benefits. Of this total, $73 thousand (net of the federal benefit on state issues) represents the amount of unrecognized tax benefits that, if recognized, would favorably affect its effective income tax rate in future periods.

The following table reconciles the beginning and ending amount of unrecognized tax benefits, in thousands:

	Year-Ended December 31,		
	2012	2011	2010
Balance at January 1	$ 425	$ 727	$ 388
Additions for tax positions of current year	6	—	—
Additions for tax positions of prior years	14	—	565
Reductions for tax positions of prior years	—	(47)	(92)
Settlements	2	(207)	—
Reductions due to lapse of the applicable statute of limitations	(372)	(48)	(134)
Balance at December 31	$ 75	$ 425	$ 727

The Company does not anticipate any significant increases or decreases in unrecognized tax benefits within the next twelve months. In October 2012, the statute of limitations expired on state issues related to tax year 2007 with no material impact on the unrecognized tax benefits. In September and October 2013, the statute of limitations will expire on approximately $45 thousand in unrecognized tax benefits related to federal and state issues from tax years 2008-2010.

The Company continues to recognize interest and penalties related to uncertain tax positions in income tax expense. The Company recognized $16 thousand, $27 thousand, and $0.1 million in interest and penalties related to uncertain tax positions in income tax expense during the years ended December 31, 2012, 2011, and 2010, respectively.